

complaint

Ms L and Ms W, represented by their solicitor, AL, have complained that Adrian Flux Insurance Services Group (Flux) mis-sold them a buildings insurance policy for an unoccupied property. Ms L and Ms W were unable to make a successful claim on this policy following a water leak, causing the property to be sold for an amount less than expected.

As AL acted for the parties throughout, and for ease of reference, I'll refer to AL throughout this decision.

background

Ms L and Ms W inherited a property in January 2017. The property sat empty whilst executors, a solicitor firm in which AL (who's also Ms L's husband) is a partner, settled her estate. The property required insurance, and AL arranged appropriate buildings insurance cover through Flux, a broker. This insurance renewed in January 2018.

In March 2018 the property, whilst still unoccupied, suffered a flood due to a burst water pipe in the loft, causing significant damage. AL tried unsuccessfully to claim on the insurance policy. The claim was rejected because the property wasn't heated above 15 degrees during the time in question – the policy contained a specific clause saying that escape of water claims would only be covered in the winter months if either the utility mains were switched off/water drained, or the property remained heated at that temperature.

AL complained they were unaware of that requirement when the policy began, or at renewal - had they known, they would have ensured the heating remained on. However, Flux pointed out this clause was clearly set out in the policy documents sent to AL, and this specific requirement had also been separately highlighted in letters before the policy was taken out, and prior to renewal. Flux believed they'd taken all appropriate steps to notify AL of this clause, and it was their responsibility to have read the documents before agreeing to take out the policy.

AL brought their complaint to us, but one of our investigators agreed that Flux hadn't done anything wrong – he didn't think the relevant term was unusual in the context of a policy for an unoccupied property, and Flux had done enough to highlight the term. Unhappy with this, AL asked an Ombudsman to review the complaint.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I've been told the property has now sold, but at a price £65,000 less than had been expected after an initial buyer pulled out. This is a significant reduction in value, which AL thinks is partly down to the flood damage not being fixed. I'm also aware this all happened at a time when AL were dealing with the loss of a close relative, causing further upset. However, notwithstanding this, I'm afraid I agree with the conclusions reached by the investigator. I'll explain why.

There are a number of facts not in dispute here. AL provided detailed and accurate information in relation to the property to Flux when taking out the policy, and again when it renewed. Also, the policy Flux arranged contained a clause stating escape of water claims wouldn't be covered in the winter months if the water supply was left connected but the heating not kept above a constant 15 degrees. It's also not in dispute the water supply was left connected, but with the heating turned *off* during the relevant period.

I want to begin by considering if the relevant clause was unusual. The Adrian Flux Unoccupied Property Insurance policy document contains the following, at page five and six:

What is covered

Water or oil leaking or spilling from any fixed domestic water or heating installation, swimming pool, hot tub, jacuzzi, spa, aquarium, washing machine, refrigerator, freezer or dishwasher.

What is not covered

Loss or damage unless during the period from 1st November to 31st March all mains supplies are turned off and the water and central heating systems are drained or the central heating system is kept running to maintain a temperature of 15 degrees centigrade throughout the private residence

This policy is designed to insure unoccupied private residences. In the winter, an unoccupied property can succumb to frost damage causing unused pipes to burst. So, having a clause in the policy to try to mitigate this type of damage appears sensible. So I don't think it's an unusual clause – in fact it's likely to be found in other similar types of insurance product.

But is it onerous? It certainly requires the property owner to '*do something*' – the policyholder has to either turn the mains off, or heat the property constantly throughout the winter months. I don't think turning the mains/water off in an empty property is onerous – I think this could be said to be common sense. However, requiring a property to remain heated is, I think, an onerous condition, if only because it requires constant heating (in this case) for five months, which could be expensive.

That being the case, I need to decide if this onerous condition was notified clearly to AL. There are a number of key exchanges between Flux and AL that persuade me this condition was clearly notified.

Flux sent a policy quotation to AL in early January 2017. On page two "Important Information", under the "Additional Notes" section, it says:

Escape of Water or Oil claims are excluded during the period from 1st November to 31st March unless all mains supplied are turned off and the water and central heating systems drained, or the central heating system must be kept running to maintain a temperature of 15 degrees centigrade throughout the property.

I think this clearly sets out the condition – it's been highlighted by Flux as a key policy clause. AL phones Flux the following day to accept the insurance. Flux then send/email the policy, schedule and a statement of relevant facts to AL over the subsequent weeks - although I note the above clause isn't highlighted in these communications.

Taken together, I think Flux did enough to highlight the relevant clause at inception. I think Flux was entitled to assume the policy was purchased after AL had read and agreed to the information contained in the early January 2017 quotation letter.

The policy renewed in January 2018 - which is important because it's during this period of insurance the flood occurred. Flux emails a renewal invitation to AL in early January 2018. Attached is a renewal document. On page 2, under the "Excesses, endorsements and conditions" section, it repeats the text mentioned above. AL phones Flux to renew the policy a week or so later – AL was asked if he was happy with the terms and conditions, and he confirmed that he was.

Here, and for the same reasons, I again think Flux had done enough to highlight the relevant clause at renewal. In both instances, based on what I've seen, it seems clear to me Flux was aware of the importance of that particular clause, and ensured it was highlighted to AL before the policies were taken out. I think they made it sufficiently clear to AL, as professional representative who acted as the sole point of contact. I think Flux were entitled to believe they had done, and indeed had done all they needed to do in these circumstances.

For these reasons, I don't think Flux did anything wrong in how they communicated and sold the policy to AL. It follows I can't say that Flux's actions have in any way contributed to the reduced selling price of the property, and so I won't be asking them to do anything further.

my final decision

For the reasons I've given, my final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Ms L and Ms W to accept or reject my decision before 3 November 2019.

Mark Evans
ombudsman